

as many other countries as possible. The purpose of this strategy is to spread the risk and thereby ensure *safety*. Nor does the exhortation stop there. The June 24, 1994 *Wall Street Journal* ran a large article on the idea that “venturing into *high-risk* funds...makes your mutual fund portfolio more tranquil and *lowers the risk* by diversification.” (Here again, high risk magically means low risk.) Diversification is a tactic always touted at the end of a highly inclusive (in this case global) bull market. Without years of a bull market to provide psychological comfort, what today is an apparently self-evident truth would not be popular. No one was making this case in 1974 or 1980.

The truth is that diversification for its own sake, absent a method of choosing promising speculations, can only assure mediocrity or loss, thereby hurting an investor in the long run. Extricating oneself from investments in Singapore, Taiwan, France, Mexico and Brazil, or from junk bonds and exotic real estate packages upon which no one is bidding, will be a nightmare in a bear market. *The Elliott Wave Theorist's* position has been that successful investing requires one thing: *anticipating successful investments*, which requires that one must have a method of choosing them. Sometimes that means holding many types of investments, sometimes few. Anyone championing investment diversification for the sake of safety and no other reason has no method of choosing investments, no method of forming a market opinion, and should not be in the money management business.

Enticing novices into markets on the promise of safety through diversification is irresponsible. Those who have not studied markets should not be investing; they should be saving, which means acting to protect principal, not to generate a return when they do not know how. Ironically, yet necessarily given today's conviction about diversification, the deflationary trend that will soon be upon us will devastate nearly all financial assets except cash.

Rationalization

The engine of markets is psychological change. Its turns are marked by psychological extremes, as investors move from depression to euphoria. What is euphoria, anyway? Euphoria is a state of mind that makes reality appear better than it is. For instance, today it *feels* to most people as if the Dow has doubled over the past year, while in fact, it is less than 10% above its January 1994 high of 3978 (while the Transports, Utilities and advance-decline line